

Chapter 3

EU Policies: Agriculture, Competition & Industry

What does the EU actually do? Its concrete policies explained.

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- Part 1: Complete Synthesis — all key concepts with examples
- Part 2: Q&A; Exam Format — 15 questions & answers

PART 1 — COMPLETE SYNTHESIS

KEY CONCEPT 1 — The Common Agricultural Policy (CAP)

The CAP is the EU's agricultural policy — and its **biggest budget item** (~1/3 of the entire EU budget).

Purpose: Ensure food security, fair income for farmers, reasonable prices for consumers.

2 pillars:

1. **Direct payments** to farmers (based on land area or number of livestock)
2. **Rural development** (modernization, environmental projects)

Managed by: DG AGRI (Directorate-General for Agriculture)

Current controversies: In 2024, Belgian and European farmers blocked roads across Europe to protest against EU environmental regulations they see as killing profitability. The tension: Green Deal vs farmer viability.

New CAP 2028: Stronger emphasis on environmental conditions for receiving subsidies.

KEY CONCEPT 2 — EU Competition Policy

Competition policy = preventing any company from dominating and abusing the market, ensuring a level playing field for all European businesses.

Managed by: DG COMP (Directorate-General for Competition)

Key figure: Margrethe Vestager (Danish, EU Competition Commissioner)

Two core legal rules (TFEU):

- **Article 101:** Prohibits **anti-competitive agreements** between companies (cartels, price-fixing, market sharing)
 - Example: Truck manufacturers secretly agreed on prices → €3.8 billion fine (2016)
- **Article 102:** Prohibits **abuse of dominant position**
 - Example: Google fined €4.3 billion for forcing Android makers to pre-install its apps
 - Example: Apple fined for App Store monopoly (only app store allowed)
 - Example: Microsoft fined for bundling Internet Explorer with Windows

4 areas of DG COMP:

1. Antitrust (cartels + dominant position)
2. Mergers & Acquisitions (blocking anti-competitive mergers)
3. Liberalization (opening monopoly sectors to competition)
4. State Aid (preventing governments from unfairly subsidizing their own companies)

Liberalization examples:

- Telecom: national monopolies broken up in the 1990s → mobile competition
- Aviation: liberalization → Ryanair (low-cost) became possible

KEY CONCEPT 3 — Industrial Policy

Purpose: Strengthen European industry's competitiveness, especially vs USA and China.

Managed by: DG GROW (Internal Market, Industry, Entrepreneurship, SMEs)

Lisbon Strategy (2000–2010):

Goal: Make the EU "the most competitive and dynamic knowledge-based economy in the world by 2010."

Result: Partially achieved — lagged behind on digital/tech vs USA.

New Industrial Strategy (2020):

- Finance "alliances" in strategic sectors: clean hydrogen, batteries, semiconductors, satellites
- More flexibility for state aid in these sectors
- Protect European intellectual property globally

EU vs USA vs China — the competitiveness gap:

Sector	EU strength	EU weakness
Automotive	Volkswagen, BMW, Stellantis	Losing to Chinese EVs
Aerospace	Airbus	—
Chemicals/Pharma	BASF, Bayer	—
Digital/Tech	—	No EU equivalent of Google, Apple, Meta

KEY CONCEPT 4 — The Green Deal

The EU's most ambitious long-term policy. Goal: make Europe the **first climate-neutral continent by 2050**.

Key targets:

- **-55% greenhouse gas emissions by 2030** (vs 1990 levels)
- **Net zero emissions by 2050**
- Financed by **NextGenerationEU** (€1,800 billion recovery plan, 1/3 dedicated to green transition)

Circular Economy:

- Goal: decouple economic growth from resource consumption
- Double the rate of circular material use before 2035
- Reduce plastic waste, promote repair/reuse over disposal

Practical examples of Green Deal:

- EU ban on new petrol/diesel cars from 2035
- USB-C universal charger (reduces e-waste)
- ESG reporting mandatory for large listed companies

KEY CONCEPT 5 — ESG (Environmental, Social, Governance)

A framework to evaluate a company's non-financial impact. Increasingly mandatory for listed EU companies.

Pillar	What it covers	Example metrics
Environmental	Climate impact, resource use	CO2 emissions, waste management, energy use
Social	People and communities	Gender pay gap, worker safety, training
Governance	How the company is run	Board diversity, anti-corruption, executive pay transparency

Why it matters for business: Investors, banks and regulators increasingly refuse to fund companies with poor ESG scores. Being green is no longer optional for EU businesses.

KEY CONCEPT 6 — VUCA World

The concept that explains why business strategy is so complex today:

- **Volatility:** rapid, unpredictable changes (COVID, Ukraine war)
- **Uncertainty:** incomplete information, hard to predict outcomes
- **Complexity:** multiple interdependent actors (supply chains, regulations, geopolitics)
- **Ambiguity:** situations open to multiple interpretations

Why the EU matters in a VUCA world: The EU Single Market gives companies a stable regulatory environment, a large home market, and negotiating power — reducing some VUCA effects for European businesses.

KEY CONCEPT 7 — Schengen & Structural Policies

Schengen Area:

- 29 states, free movement of people without systematic border controls
- Includes non-EU members (Norway, Switzerland, Iceland, Liechtenstein)
- NOT the same as the EU (27 countries)

Structural Policies:

Long-term policies that permanently alter the supply side of the economy:

- Labour market reforms (flexibility, training)
- Financial market reforms (access to capital)
- Innovation policy (R&D; investment)
- Social cohesion (reducing inequalities between regions)

PART 2 — Q&A; EXAM FORMAT (15 Questions)

Q1 What is the CAP and how much of the EU budget does it represent?

The Common Agricultural Policy is the EU's agricultural policy, representing approximately 1/3 of the entire EU budget. It has 2 pillars: direct payments to farmers (based on land/livestock) and rural development funding.

Q2 Why were European farmers protesting in Brussels in 2024?

Farmers protested against EU environmental regulations (Green Deal requirements) they argued were making farming unprofitable — strict limits on pesticides, fertilizers, and land use. They felt the EU was prioritizing climate goals over agricultural viability.

Q3 What does Article 101 TFEU prohibit? Give a concrete example.

Article 101 prohibits anti-competitive agreements between companies — cartels, price-fixing, market-sharing. Example: European truck manufacturers secretly coordinated prices for 14 years → €3.8 billion fine by the Commission in 2016.

Q4 What does Article 102 TFEU prohibit? Give a concrete example.

Article 102 prohibits abuse of a dominant market position. Example: Google was fined €4.3 billion in 2018 for forcing Android smartphone makers to pre-install Google Search and Chrome, blocking competitors from the mobile market.

Q5 Who is Margrethe Vestager and what is her role?

Margrethe Vestager is a Danish politician who served as EU Commissioner for Competition. She became famous for taking on Silicon Valley giants (Google, Apple, Amazon, Facebook), issuing record fines and pushing for fairer competition in the digital market.

Q6 What is the Lisbon Strategy? Was it successful?

The Lisbon Strategy (2000-2010) aimed to make the EU 'the most competitive and dynamic knowledge-based economy in the world by 2010.' It was only partially achieved — the EU improved in some areas but fell significantly behind the USA on digital technology and innovation.

Q7 What are the key targets of the European Green Deal?

Reduce greenhouse gas emissions by 55% by 2030 (vs 1990 levels). Achieve climate neutrality (net zero) by 2050. Financed partly by NextGenerationEU (€1,800 billion recovery plan, with 1/3 allocated to the green transition).

Q8 What is the circular economy? What is the EU's target?

An economic model that keeps materials in use as long as possible — repairing, reusing, recycling instead of disposing. EU target: double the circular use rate of materials before 2035. Reduces dependency on raw material imports and cuts waste.

Q9 What are the 3 ESG pillars? Give one metric per pillar.

Environmental (E): CO2 emissions, energy consumption, waste management. Social (S): gender pay gap, worker safety rates, staff training hours. Governance (G): board diversity, anti-corruption policies, transparency of executive compensation.

Q10 What does VUCA stand for and why is it relevant to the EU?

Volatility, Uncertainty, Complexity, Ambiguity. It describes today's business environment. The EU is relevant because its Single Market and regulatory framework give companies a stable home base of 450M consumers, reducing VUCA effects compared to operating in fragmented national markets.

Q11 What is DG COMP and what are its 4 areas of competence?

DG COMP is the European Commission's Directorate-General for Competition. Its 4 areas: 1. Antitrust (cartels + abuse of dominance). 2. Mergers & Acquisitions (blocking anti-competitive deals). 3. Liberalization (opening monopoly sectors). 4. State Aid control (preventing unfair subsidies).

Q12 How did liberalization change European aviation? Give an example.

Before liberalization (pre-1990s), each country had a national airline monopoly with high prices. After liberalization opened the market to competition, low-cost carriers like Ryanair emerged, drastically cutting prices and making air travel accessible to millions of Europeans.

Q13 What is the Schengen Area? How is it different from the EU?

Schengen is a zone of 29 countries with no systematic border controls for people. It's different from the EU (27 countries): some EU members are not in Schengen (Ireland), and some non-EU countries are in Schengen (Norway, Switzerland, Iceland, Liechtenstein).

Q14 What is the New Industrial Strategy 2020 and why was it launched?

Proposed by the Commission in March 2020, it aims to boost EU competitiveness in strategic sectors (clean hydrogen, batteries, semiconductors, satellites) by funding sectoral 'alliances,' increasing state aid flexibility, and protecting European intellectual property against unfair foreign competition.

Q15 What is State Aid? Why does the EU control it?

State aid is financial support given by a government to specific companies (subsidies, tax breaks, loans). The EU controls it to prevent member states from giving their own companies an unfair advantage over competitors from other EU countries, which would distort the Single Market.